

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

BED BATH & BEYOND INC., *Complainant*

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND
OOCL (EUROPE) LIMITED, *Respondents*.

DOCKET NO. 23-02

Served: September 19, 2024

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER DENYING SECOND MOTION FOR RECONSIDERATION OR LEAVE TO APPEAL

On September 6, 2024, Respondents filed a motion seeking reconsideration (“Motion”) of the August 23, 2024, Order on Amended Complaint, Confidentiality, and 4th Revised Scheduling Order (“Order”) insofar as it granted Complainant’s motion for leave to file an amended complaint. In the alternative, Respondents requested leave to appeal the issue to the Commission. Motion at 4. On September 13, 2024, Complainant filed a memorandum in opposition to the motion (“Opposition”) and a declaration with two exhibits. On September 17, 2024, Respondents filed a corrected motion which corrected the docket number in the caption of the motion.

Respondents contend that reconsideration or leave to appeal are appropriate because the Order is inconsistent with the Commission’s August 27, 2024, Order Affirming Initial Decision in *OJ Commerce LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S*, Docket. No. 21-11, slip op. (FMC Aug. 27, 2024). Respondents argue that the Presiding Officer has substantial authority to reconsider her decisions and that the Commission “made clear that this limited expansion [of retaliation claims] applies only to formal notices of intent to file a complaint, and not to informal statements that may suggest to a carrier that a shipper might possibly file a complaint.” Motion at 3.

The Order granted Complainant’s motion for leave to file an amended complaint in part to allow the addition of a claim of retaliation based on information discovered during discovery, stating:

When the statements were made, section 41104(a)(3) stated that a common carrier may not “retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.” 46 U.S.C. § 41104(a)(3) (2021). Respondents’ argument focuses on the “filed a complaint” language, asserting that at that point in time,

Complainant had not filed a complaint. Moreover, Respondents contend there was no threat to file a complaint with the FMC, unlike in *OJ Commerce, LLC v. Hamburg Sud*, Docket 21-11, 6 FMC 2d 165, 189-91 (ALJ 2023).

The proposed amended complaint quotes from Complainant's October 18, 2021, letter and Respondents' internal emails responding to the letter, all of which the parties assert are confidential. Amended Complaint, ¶¶ 139-141. Respondents are correct that the amended complaint does not allege that a complaint had been filed or an explicit threat made to file a complaint with the FMC. Thus, the "any other reason" language would be the only portion of section 41104(a)(3) that could apply.

It is clear from these emails that at least some of Respondents' employees understood the October 18, 2021, letter to be threatening to report Respondents to the FMC. Respondents are correct that the parties have not identified any cases regarding whether a statement that implicitly, but not explicitly, threatens to report an entity to the FMC has violated the "for any other reason" portion of the prohibition on retaliation. Rather than requiring that the allegation be dismissed, the lack of precedent on this issue weighs toward resolving the issue after the facts have been fully developed. Determination of the issue will depend on the context including who made the statements, issues best resolved after briefing. The amended complaint raises a plausible claim of retaliation and Respondents have not established that the claim would be futile nor that a motion to dismiss would be successful.

Order at 2-3.

Respondents quote the following portions of the Commission's *OJ Commerce* decision in support of their motion:

- "The ALJ's decision does not vastly expand the types of retaliation claims the Commission will consider, it only clarified that the category includes **formal notices of an intention to file a case with the Commission**, like OJC's notice." Slip op. at 32 (emphasis added).
- "Further, the Commission affirms the ALJ's decision was appropriate for the facts of this case, which included two **formal notices** of an intention to pursue legal action. Offhand bluster or idle threats are of a different class." Id. at 33 (emphasis added). See *id.*, at 35 (referring the expansion as "protecting notices of an intention to file a case with the Commission").

Motion at 3 (emphasis in original).

These quotations do not support Respondent's argument that the *OJ Commerce* decision limited the "any other reason" language to formal notices of intent to file a complaint. Rather, the *OJ Commerce* decision focused on formal notices of an intent to file a complaint because that was the factual issue addressed in the decision. This case presents a different issue, whether a statement that implicitly, but not explicitly, threatens to report an entity to the FMC has violated the "for any other reason" portion of the prohibition on retaliation. As explained in the Order, "[d]etermination of the issue will depend on the context including who made the statements, issues best resolved after briefing."

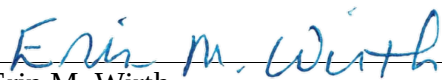
There has not been an intervening change in the law, the discovery of new evidence not previously available, a clear error in the Order, or other reason that would justify reconsideration of the Order. The Commission decision in *OJ Commerce* affirmed the ALJ decision, did not change the law, and did not address the factual scenario presented here. Therefore, the request for reconsideration is hereby **DENIED**.

The request for leave to file an appeal is based on Commission Rule 221(a), which states:

Rulings of the presiding officer may not be appealed prior to or during the course of the hearing, or subsequent thereto, if the proceeding is still before him or her, except where the presiding officer finds it necessary to allow an appeal to the Commission to prevent substantial delay, expense, or detriment to the public interest, or undue prejudice to a party.

46 C.F.R. § 502.221(a) (previously Rule 153(a)).

If this were a pure legal issue, than granting leave to appeal might prevent substantial delay and expense. However, that was addressed by the Order which found that resolution of the retaliation claim here would depend on the context, including the factual issues regarding the letter and internal emails. Moreover, retaliation is only one of the issues in dispute in this proceeding. Permitting an appeal would delay resolution of the entire proceeding, including other claims raised in the amended complaint. Respondents have not established that delay, expense, detriment to the public interest, or undue prejudice support leave to file an interlocutory appeal. Therefore, the request is hereby **DENIED**.


Erin M. Wirth
Chief Administrative Law Judge